



says that you can borrow as much as you want, and it doesn't—as long as interest rates are zero—cause inflation. So that theory is true, as long as nobody believes it's true. But once you start to use that [theory in practice], then it ceases to be true, because monetary and fiscal are all tied together. And they are also tied to financial stability. So, it's a very hard time to be a central banker in the world, partly because you are into the region where financial stability is coming into question—we are not there yet—and I think central bankers understand financial stability quite well. But because the central bankers don't control the fiscal

“If you allow the exchange rates spread, particularly the spread between the real interest rates after inflation in India and the US to get really big, that's going to make the US currency go up relative to the rupee”

part [that is]... too loose worldwide, it is a tough time.

Q: India recently displaced the UK as the world's fifth-largest economy. Given our size and growth, the Indian economy will soon emerge as the third-largest one. But the big worry is per capita income. What is the right policy prescription for India to increase per capita income?

A: That is a very hard one because clearly you want to have financial stability. If you want to continue to be a growing economy, you can't have marginal tax rates on workers to be too high. You [also] don't want to run huge deficits. You need freer labour markets, but you need to make sure people are not being let go. Somehow, India has been doing well over the last few decades, so things are succeeding in India, [and it has] become a proud economic powerhouse. How you continue—you're in the later stages of development [and] have a mature economy that's rapidly growing—is the easy thing.

[These are] the early stages of development, [and] there are lots of easy things [to do, like] redeploying labour into more productive uses, having people leave agriculture—but you're already through most of that stage. Now you're in the middle of the development period, which is the one that's very challenging.